

complaint

Mr and Mrs J complain that Royal & Sun Alliance Insurance Plc ("RSA") has unreasonably declined a claim on their home insurance policy

background

Mr and Mrs J identified cracks in the external walls of a section of their home and employed a specialist company to review the damage. The specialist report said that water leaking from a broken drain and water supply pipe had softened the soil which had caused movement in the building leading to the cracks in the walls. It recommended underpinning of the walls. Mr and Mrs J repaired the broken pipes and made a claim to RSA for the cost of repairing the damage to their home.

In the process of reviewing the claim RSA identified a similar claim made by Mr and Mrs J to their previous insurer in 2001. RSA said the previous claim was a subsidence claim. It said that if it had been made aware of this claim when Mr and Mrs J applied for cover it would have excluded any cover for subsidence damage. RSA retrospectively applied an endorsement to their policy which excluded any claims for damage caused by subsidence.

RSA said that the new claim was a subsidence claim. It said the cracks in the walls were caused by the subsidence in the building not by the escape of water from broken pipes. As subsidence cover was now excluded from the policy it declined the claim.

Mr and Mrs J disagreed with the decision for the following reasons:

- The claim in 2001 had also been for damage caused by an underground water leak and they didn't think it had been treated as a subsidence claim by their insurer.
- They had taken reasonable care when applying for cover with RSA. They didn't think it was reasonable for RSA to impose the exclusion of subsidence cover retrospectively.
- They thought that the new claim should be treated as an escape of water claim not a subsidence claim.

my provisional decision

On the 29 November 2016 I issued a provisional decision to Mr and Mrs J and RSA. My provisional decision was to uphold this complaint for the following reasons.

I considered a number of questions in order to decide if RSA had acted fairly and reasonably in declining Mr and Mrs J's claim.

Firstly - was the claim in 2001 a subsidence claim?

Due to the time that had passed Mr and Mrs J's insurer in 2001 wasn't able to provide any detailed records of the claim. And Mr and Mrs J weren't able to provide any records of the investigations that were done at the time.

But in correspondence between Mr and Mrs J and their broker, and between the broker and RSA the previous claim was referred to as a subsidence claim. It was also clear that the claim was handled at the time by the subsidence department of the loss adjuster and the insurer. I recognised this may have been just for administrative purposes due to their expertise.

On balance I thought it was more likely than not that the previous claim had been handled as a subsidence claim.

Secondly - was it reasonable for RSA to retrospectively add an exclusion to the policy for any damage caused by subsidence?

The statement of fact provided to Mr and Mrs J with the quotation from RSA clearly asked them to confirm that there hadn't been any subsidence issues with their property. Mr and Mrs J confirmed this was the case. Given the earlier claim I didn't think that Mr and Mrs J took reasonable care at the time they applied for the cover from RSA. I didn't think this was deliberate. But as a result they had provided incorrect information to RSA.

I was satisfied that if RSA had been made aware of the previous claim at the time of Mr and Mrs J's application it would have included an exclusion for any damage caused by subsidence. I therefore thought that when RSA became aware of the previous claim it was entitled to retrospectively add an endorsement excluding damage caused by subsidence.

Thirdly - should the current claim be treated as an escape of water claim or as a subsidence claim?

The professional reports concluded that leakage from cracked clay drain pipes and a mains water pipe had washed away and softened the ground under the building causing it to subside and crack the external walls.

RSA said that the damage was caused by the subsidence not by the water leak and so it wasn't covered by the policy. I didn't think that this was the correct way to consider the claim.

I agreed that if this was only a subsidence claim then it would have been excluded by the endorsement. I also accepted that if the damage had been due to two independent and separate causes, escape of water and subsidence, and either was excluded by the policy, then the claim could be declined.

But in this case I thought the damage was as a result of a chain of events. The escape of water had caused the building to subside which had caused the cracks in the building. I thought that in these circumstances the proximate cause of the damage to the building was the escape of water not the subsequent movement in the building. (I gave an example of the situation where a fire causes an explosion and any damage caused by the explosion is covered under the fire risk.)

I said that if the chain of events was the reverse in that the subsidence in the building had come first and this had cracked the pipes and caused the leak - then the claim could be declined as a subsidence claim. But I hadn't seen any evidence to suggest this was the case.

Mr and Mrs J's policy is an all risks policy and individual perils such as escape of water aren't specified. But there wasn't anything in the policy documentation to suggest that damage due to escape of water was excluded from the policy.

I'd carefully reviewed the subsidence endorsement that RSA added retrospectively to the policy. But I didn't think that this endorsement excluded cover for damage to the building caused by escape of water.

For the reasons set out above I thought it was unreasonable for RSA to decline Mr and Mrs J's claim using the endorsement for subsidence damage.

my findings

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The endorsement which RSA added to the policy read as follows:

SECTION 1 TO 3 BUILDINGS, CONTENTS AND YOUR LIABILITIES - SUBSIDENCE EXCLUSION:

The coverage provided by this policy is subject to the exclusion of loss or damage caused by subsidence, ground heave or landslip. Loss of rent and cost of alternate accommodation and the liability for damage to third party property resulting from subsidence, heave or landslip contributed to or caused by trees or their roots or escape of water from drains is also excluded.

In response to my provisional decision RSA said that: "Within the above endorsement escape of water is excluded along with subsidence. On this basis the claim fails."

Having considered the wording again I still think that as the heading says, this is a subsidence exclusion. I don't think it is an exclusion for escape of water. I think that the reference to escape of water in the endorsement relates to loss of rent, cost of alternate accommodation and liability for damage to third party property.

I think that Mr and Mrs J's claim is for damage caused by escape of water. This is an all risks policy and I don't think that their claim is excluded by the above endorsement. I still think it is unreasonable for RSA to decline the claim on the basis of this endorsement.

One of Mr and Mrs J's representatives in this complaint has suggested that RSA should make a contribution to the costs their client has incurred in disputing RSA's decision. I think that Mr and Mrs J can ask RSA to do this. But I don't think it is appropriate for this service to order RSA to pay for the professional services Mr and Mrs J chose to employ in this dispute. It was their decision to incur these expenses and we don't usually reimburse costs as part of a decision.

my final decision

My final decision is to uphold this complaint.

I require Royal & Sun Alliance Insurance Plc to settle Mr and Mrs J's claim for damage to their home caused by the escape of water.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr and Mrs J to accept or reject my decision before 20 January 2017.

John Thornton
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